

What we should call a *proper stock dividend* is one that is paid to shareholders to give them a tangible evidence or representation of *specific* earnings which have been reinvested in the business for their account over some relatively short period in the recent past—say, not more than the two preceding years. It is now approved practice to value such a stock dividend at the approximate value at the time of declaration, and to transfer an amount equal to such value from earned surplus to capital accounts. Thus the amount of a typical stock dividend is relatively small—in most cases not more than 5%. In essence a stock dividend of this sort has the same overall effect as the payment of an equivalent amount of cash out of earnings when accompanied by the sale of additional shares of like total value to the shareholders. However, a straight stock dividend has an important tax advantage over the otherwise equivalent combination of cash dividends with stock subscription rights, which is the almost standard practice for public-utility companies.

The New York Stock Exchange has set the figure of 25% as a practical dividing line between stock splits and stock dividends. Those of 25% or more need not be accompanied by the transfer of their market value from earned surplus to capital, and so forth.[†] Some companies, especially banks, still follow the old practice of declaring any kind of stock dividend they please—e.g., one of 10%, not related to recent earnings—and these instances maintain an undesirable confusion in the financial world.

We have long been a strong advocate of a systematic and clearly enunciated policy with respect to the payment of cash and stock dividends. Under such a policy, stock dividends are paid periodically to capitalize all or a stated portion of the earnings reinvested in the business. Such a policy—covering 100% of the reinvested earnings—has been followed by Purex, Government Employees Insurance, and perhaps a few others.^{*}

Stock dividends of all types seem to be disapproved of by most academic writers on the subject. They insist that they are nothing but pieces of paper, that they give the shareholders nothing they did not have before, and that they entail needless expense and inconvenience.[†] On our side we consider this a completely doctrinaire view, which fails to take into account the practical and psychological realities of investment. True, a periodic stock dividend—say of 5%—changes only the “form” of the owners’ investment. He has 105 shares in place of 100; but without the stock dividend the original 100 shares would have represented the same